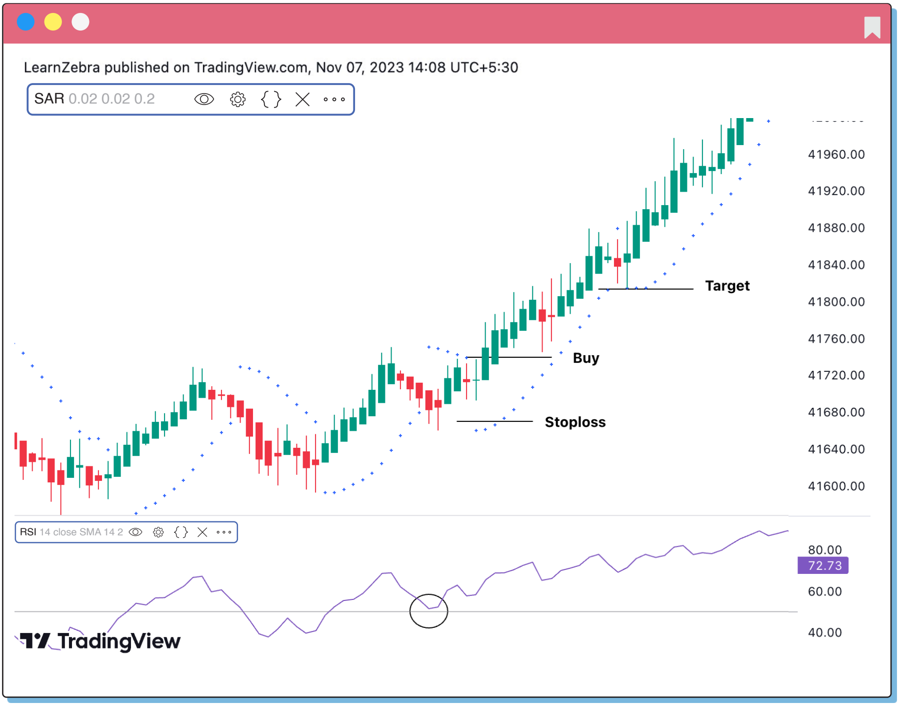
The RSI is a technical indicator which oscillates between the range of 0 to 100. The RSI region below 30 is considered as oversold which means with the timeframe selected, the downside move of the market can exhaust. The RSI region above 70 is considered as overbought which indicates the upmove can exhaust and hence the market might take a reversal from this point.

THE STRATEGY

Using this strategy, we try to maximise our profits by having multiple confluences on a 3-minute timeframe chart. We will use the 50 level of RSI as our main trade signal generator. When the price is above the 50 level, it is a buy signal from the RSI. Also, at the same time the Heiken Ashi candles should turn bullish and the Parabolic SAR must be below the candle.



With all these confluences together, we confirm a buy trade and enter the market. Similarly, when the RSI is below the 50 level, Heiken Ashi candles are bearish, and Parabolic SAR is above the candles. With all these confirmations, we confirm a sell trade and enter the market.